Table 1.4 Breakout Day Gap (G) versus No Gap (N)

	Bull Market, Up Breakout	**Bear Market, Up Breakout**
Winner	Gap (68%)	Tie (50%)
Performance	45% G, 42% N	28% G, 28% N
	Bull Market, Down Breakout	**Bear Market, Down Breakout**
Winner	Gap (85%)	Gap (57%)
Performance	–16% G, –15% N	–23% G, –22% N

Table 1.4: Breakout day gap. Do gaps that occur on the day of breakout help performance?

Winner, Performance. After downward breakouts in bull markets, I found that 85% of the chart pattern types showed a gap helping performance. The chart patterns dropped an average of 16% versus 15% for those not showing a breakout gap.

Notice that the percentages on the performance line are close, suggesting gaps are not a strong performance indicator, either. Because I measure performance using the opening price the day *after* the breakout day gap, you can participate in the better performance that a gap may provide.

Table 1.5: Throwbacks and pullbacks. Throwbacks and pullbacks are features I love. When they appear, they invariably hurt performance. The table shows the blood. A throwback happens after an *upward* breakout from a chart pattern when price soars but then returns to the breakout price (or comes close to it) within a month. Pullbacks are the same except the breakout is downward.

Winner, Performance. For example, 97% of the time I found that throwbacks hurt performance after upward breakouts in bull markets. In contests of patterns with downward breakouts in bear markets, all of them (100%) showed that pullbacks hurt performance. The average decline of those contests was 26% for those patterns not showing a pullback (N) and 20% for those that did pull back (P). For a downward breakout, that's a wide difference.